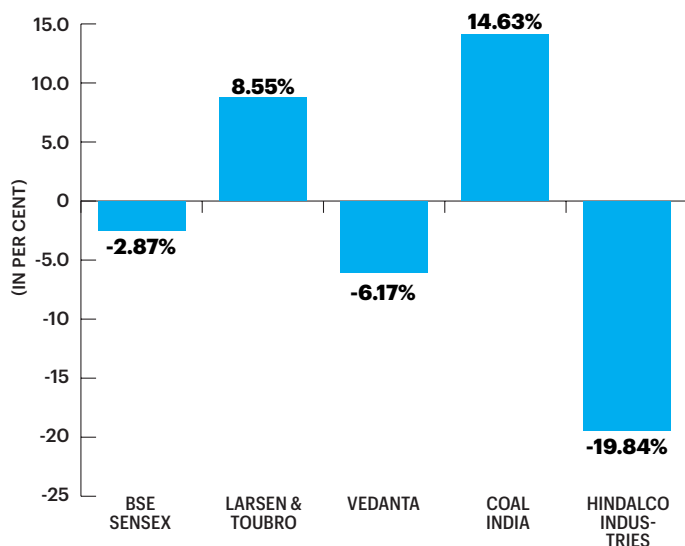


SPOT CHECK

While L&T and Coal India have performed well on the bourses during the *BT* study period, Vedanta and Hindalco have not



PERCENTAGE CHANGE IN STOCK PRICE RETURNS FROM OCTOBER 1, 2021 TO SEPTEMBER 30, 2022; **SOURCE** ACE EQUITY

COMEBACK KINGS



Rising commodity prices, an uncertain geopolitical situation and the government's infra push have given a boost to L&T, Vedanta, Coal India and Hindalco



Hindalco and Vedanta have used the spurt in commodity prices to reduce their debt



Coal India has boosted productivity by cutting costs and a key aspect of that has been to reduce its employee base



Coal India has discontinued its underground mines that accounted for a large workforce but had low output



L&T is set to be one of the biggest gainers of the infra push apart from its defence business picking up

"Currently, high energy prices have brought back interest in carbon energy sources and capex is picking up. This augurs well for L&T." Another positive is the improvement in the balance sheets of India's largest companies and banks coupled with rising capacity utilisation in the economy. "That indicates a sharp uptick in the engineering and construction business. L&T with its all-round capabilities—technical, logistical and financial—is the company that is best-placed in the sector to benefit from these industry trends," says Magadh's Prasad.

All four companies have spotted opportunities. Vedanta's Goel says the objective for his company over the next two to three years will be to strengthen its core portfolio apart from integrating the value chain and execute growth projects. While being upbeat about the road ahead operationally and financially, he highlights the advantages Vedanta

has, among which are being the world's largest fully integrated zinc producer and becoming well-placed in areas such as aluminium, and oil and gas. "With our successful acquisition of a nickel and cobalt plant in Goa, Vedanta is the sole producer of nickel in the domestic market. Our underlying strengths and a conducive market scenario places us well to achieve continued growth across our businesses," he says.

The way forward for Hindalco, points out Pai, is on "organic growth through an expansion of its downstream value-added business, both in Novelis and India". That is expected to further de-risk the company from the volatility in the space. "In India, we are focussing on high-growth downstream segments—EVs, mobility, packaging, batteries, B&C (building and construction) and consumer durables. Our overseas business—Novelis—will continue to invest in organic opportuni-

ties to serve the growing demand for sustainable aluminium solutions."

While the four companies have impressed investors, the reasons for their good performance are for different reasons. Arora says L&T is "clearly the market favourite given the tailwinds from defence and other manufacturing-related pushes in the domestic market". In the case of Vedanta, he attributes it to high dividends.

He says that Hindalco is trying to make a recovery as investors get confident that commodities and the US dollar index have hit a bottom. "In the case of Coal India, it is holding on to gains as coal prices remain high and a solution to energy shortages is a while away."

Whatever be the reasons, these four legacy companies have given investors the much-needed predictability in an uncertain world. **BT**

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